Answer Key - Economics - K-12 Level Assessment 5 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** A
Options: A) Expectations of surpluses of goods in the future; B) A decrease in income taxes; C) An increase in government spending; D) An increase in foreign income
Note: Correct option: A - Expectations of surpluses of goods in the future

2. **Answer:** D
Options: A) is all of the spending done by all of the households in a nation.; B) slopes downward because less spending occurs when prices rise.; C) slopes downward because less spending occurs when income falls.; D) slopes upward because more household spending occurs when income rises.
Note: Correct option: D - slopes upward because more household spending occurs when income rises.

3. **Answer:** A
Options: A) Nation A has comparative advantage in the production of that good.; B) Nation B has comparative advantage in the production of that good.; C) Nation A has absolute advantage in the production of that good.; D) Nation B has absolute advantage in the production of that good.
Note: Correct option: A - Nation A has comparative advantage in the production of that good.

4. **Answer:** D
Options: A) More rapid consumption of natural resources.; B) Higher adult illiteracy rates.; C) A falling stock of capital goods.; D) Investment tax credits.
Note: Correct option: D - Investment tax credits.

5. **Answer:** D
Options: A) production possibilities.; B) goods and services.; C) unlimited human wants.; D) scarce economic resources.
Note: Correct option: D - scarce economic resources.

True / False

6. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Marginal social cost = marginal private cost + negative externality.'.

8. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'The ratio of income inequality to income equality in different countries.'.

9. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'Removal of the investment tax credit'.

10. **Answer:** True
    Options: A) True; B) False
    Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Tax changes cause shifts in aggregate supply that work against shifts in aggregate demand thus reducing the effect of the tax change on real GDP.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** 25% $750 M = 4. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key